PLOVER ANALYTICS · RESEARCH NOTE

Japanese regional banks: accounting losses and regulatory rate exposure point to different banks

Asia Economics Observations · 23 September 2026 · all figures as of 2026-09-23

Japan's regional banks reported record net income of ¥1,804bn for the fiscal year ended March 2026, an increase of 88% over two years. The improvement is largely attributable to higher domestic interest rates, which have widened lending margins.

The headline figure understates the cost of the adjustment. In the same fiscal year, regional banks realised losses of ¥1,156bn on bond sales, equivalent to 106% of the cumulative increase in net interest income over the preceding two years. One year of bond portfolio restructuring more than offset two years of margin expansion.

Despite those losses, regional banks increased their holdings of Japanese government bonds by 41% over two years, while the city banks reduced theirs. Bank-level disclosures, which the published aggregates do not capture, show wide dispersion: unrealised losses on bond portfolios range from under 1% to 58% of net assets.

The most material finding concerns the relationship between the two available measures of interest rate exposure. The accounting measure — unrealised losses on the bond portfolio — bears little relation to the regulatory measure disclosed under Basel requirements. The rank correlation is 0.31, and of the ten banks with the largest unrealised losses, only one ranks among the ten with the largest regulatory rate exposure. Both measures are valid, but they answer different questions, and commentary on the sector relies almost exclusively on the first.

The rate environment

The 10-year Japanese government bond yield closed fiscal 2023 at 0.750%. It closed fiscal 2025 at 2.366% and stood at 2.993% on 17 September 2026, having reached 3.028% two days earlier. The 30-year yield is 4.047%.

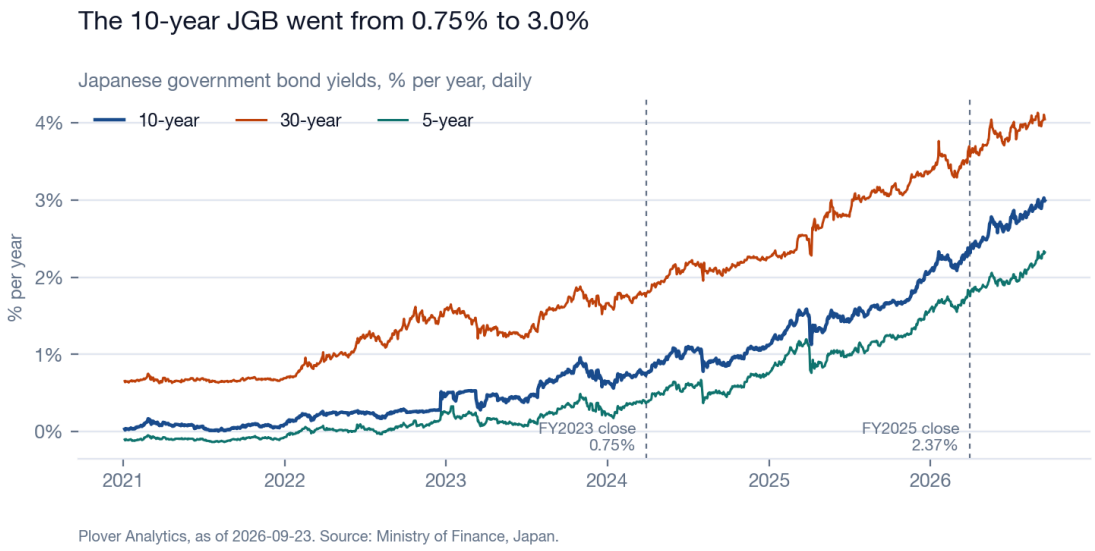


Chart 1. The 10-year JGB went from 0.75% to 3.0%. Underlying data, frozen at 23 September 2026.

This represents the most rapid sustained repricing of Japanese government debt since the 1990s, and it has occurred at institutions holding long-dated bonds acquired when yields were close to zero.

Lending margins and deposit costs

The average contracted rate on loans written by regional banks rose from 0.854% in March 2024 to 1.752% in July 2026, an increase of 0.90 percentage points. Over broadly the same period the average posted rate on ordinary deposits rose from 0.002% to 0.322%, an increase of 0.32 percentage points.

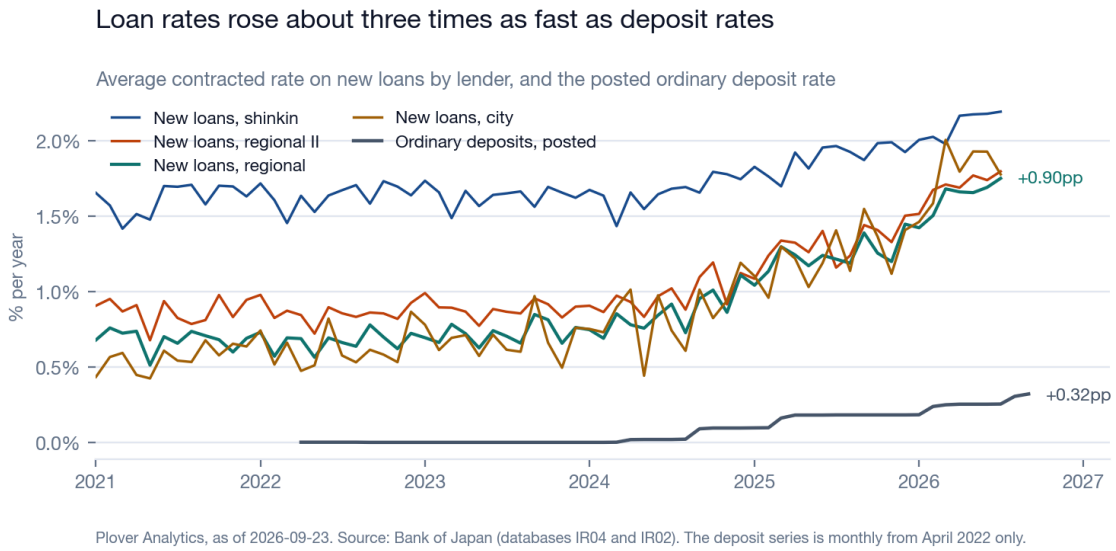


Chart 2. Loan rates rose about three times as fast as deposit rates. Underlying data, frozen at 23 September 2026.

Deposit funding reprices slowly in Japan, since the majority of the base consists of demand deposits that banks may reprice at their discretion and from which depositors rarely move. That asymmetry is evident in the reported accounts: core net business profit rose 61% over two years against a 28% increase in net interest income, indicating that operating costs did not absorb the margin gain.

Shinkin banks charged the highest average rate on new lending at 2.194% in July 2026 and city banks the lowest at 1.778%, consistent with the usual ordering by institution size.

Realised bond losses against the margin gain

Regional banks, fiscal years to March, ¥bn:

	FY2023	FY2024	FY2025	TWO-YEAR CHANGE
Net interest income	3,884	4,237	4,975	**+1,091**
Gains and losses on bonds	−477	−475	**−1,156**	−679
Core net business profit	1,641	1,958	2,637	+996
Net income	958	1,309	1,804	+846

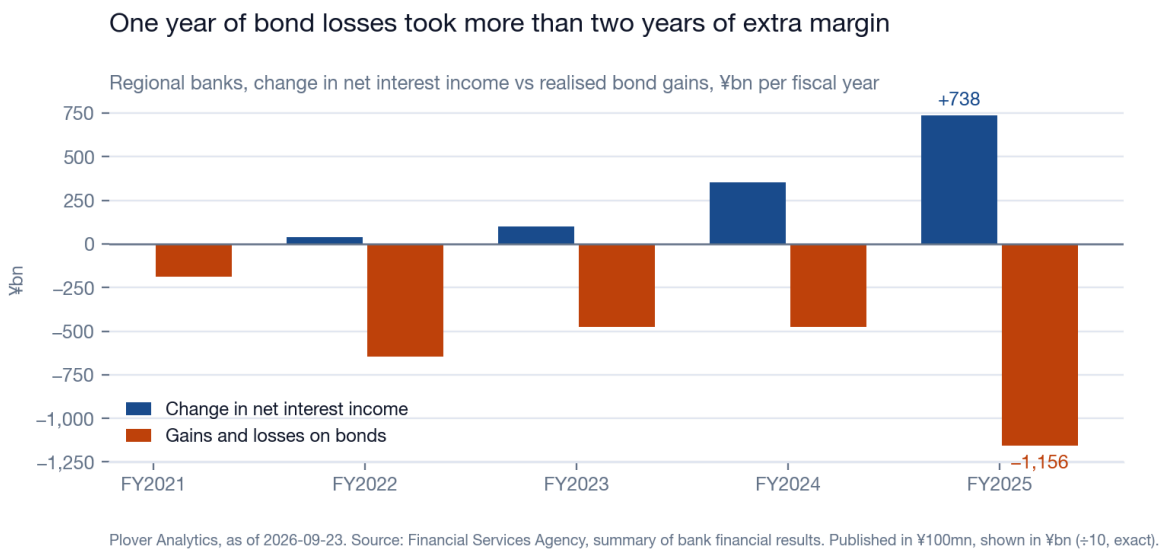


Chart 3. One year of bond losses took more than two years of extra margin. Underlying data, frozen at 23 September 2026.

Disposing of a bond below cost converts an unrealised loss into a realised one. Banks do so in order to reinvest at prevailing yields, and the decision is generally rational at current levels. It does, however, mean that the reported increase in profit overstates the underlying improvement: a substantial part of the cash generated by the wider margin has been absorbed by the cost of the previous cycle rather than retained or returned.

Net income nevertheless rose 88%, supported by gains on equity holdings and lower credit costs. That composition warrants attention before the profit trajectory is extrapolated.

Distribution of government bond holdings

Government bonds held, ¥tn:

	MAR 2022	MAR 2024	MAR 2026	TWO-YEAR CHANGE
Regional banks	15.0	14.7	20.8	**+41%**
Second-tier regional banks	2.8	3.1	4.6	**+51%**
City banks	75.7	56.6	55.5	−2%

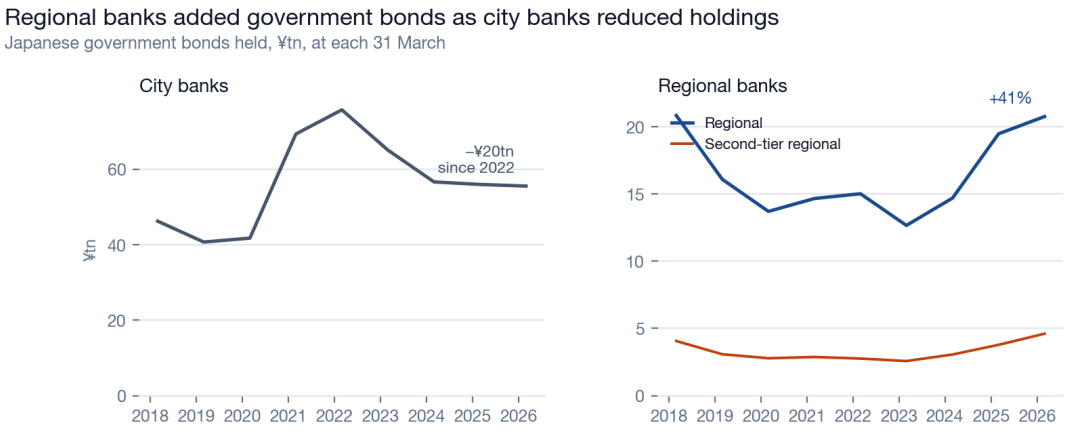


Chart 4. Regional banks added government bonds as city banks reduced holdings. Underlying data, frozen at 23 September 2026.

City banks have reduced their government bond holdings by ¥20tn since March 2022. Regional banks added ¥6tn over the last two years alone. Purchasing at yields above 2% following realised losses on bonds acquired near 0.3% is defensible on its own terms, since the reinvestment yield is materially higher. The effect, however, is to concentrate duration risk in the tier with the smallest capital base.

The same data show a more favourable development in the funding mix. The loan-to-deposit ratio rose from 77.5% to 81.7%, with loans increasing ¥21.9tn against deposit growth of ¥9.9tn, indicating a shift of funds from the securities portfolio into lending.

Unrealised losses at bank level

Across the regional filers whose accounts reconcile in full, unrealised losses on available-for-sale bonds total ¥3.42tn, of which ¥1.91tn relates to government bonds.

Measured against each institution's net assets, the dispersion is substantial. The median regional bank carries an unrealised bond loss equivalent to 13.9% of net assets. The largest exposures are as follows.

BANK	UNREALISED BOND LOSS ÷ NET ASSETS
Shimane	58.2%
Daito	58.1%
Tohoku	48.0%
Kochi	46.0%
Fidea Holdings	43.5%
San-in Godo	37.4%

These amounts are not deductions from regulatory capital for most of the institutions listed, which report under the domestic standard where such losses do not reduce the capital ratio. They indicate the proportion of shareholders' funds currently carried below cost within the bond portfolio.

The maturity profile is consistent with this. The median regional bank holds 21.2% of its securities in maturities beyond ten years; Jimoto Holdings holds 69.8%, Shizuoka Financial Group 63.6% and San-in Godo 60.0%. Shimane Bank appears near the top of both distributions, combining a small balance sheet, a long portfolio and a limited capital base.

Three of the six institutions listed above — Tohoku, San-in Godo and, immediately below them, Iwate — publish no retrievable rate-risk disclosure, and are therefore absent from the comparison that follows.

The regulatory measure of rate exposure

Since fiscal 2018, Japanese banks have been required to disclose the IRRBB1 table annually: the decline in the economic value of the banking book under six prescribed rate shocks, measured against Tier 1 capital. The disclosure appears only in each bank's own Pillar 3 document and is not available through any consolidated feed. It has been collected here for 71 of 98 regional and second-tier regional institutions.

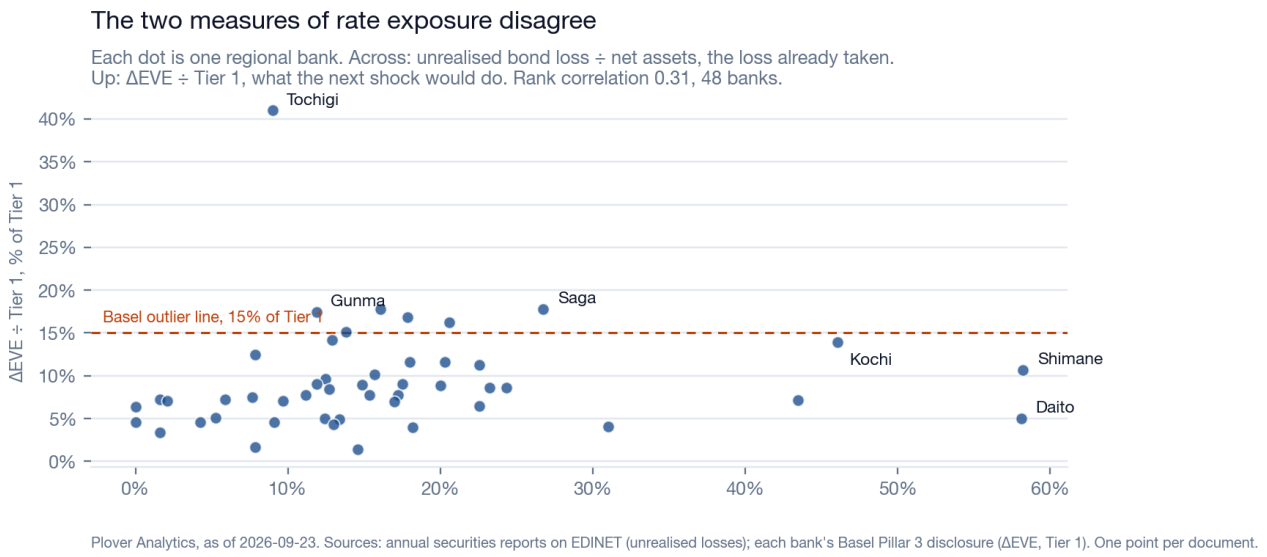


Chart 5. The two measures of rate exposure disagree. Underlying data, frozen at 23 September 2026.

For the 58 institutions carrying both measures, the rank correlation between unrealised bond losses and ΔEVE relative to Tier 1 is 0.31. One institution appears in both sets of the ten largest. Restricting the sample to one observation per source document, which removes holding companies publishing a single table covering several banks, gives a correlation of 0.31 and an overlap of two of ten, indicating that the divergence is not an artefact of the disclosure structure.

LARGEST UNREALISED LOSSES	LOSS ÷ NET ASSETS	ΔEVE ÷ TIER 1
Shimane	58.2%	10.7%
Daito	58.1%	5.0%
Kochi	46.0%	13.9%

LARGEST REGULATORY EXPOSURE	ΔEVE ÷ TIER 1	LOSS ÷ NET ASSETS
Tochigi	**41.0%**	9.0%
Saga	17.8%	26.8%
Daishi Hokuetsu	17.8%	16.1%
Gunma	17.5%	11.9%

Tochigi Bank discloses a ΔEVE of ¥59.0bn against Tier 1 capital of ¥144.1bn. This is the largest ratio disclosed by any regional bank in the sample, and the institution ranks in the middle of the distribution on the accounting measure.

The divergence follows from the construction of the two measures. Unrealised losses are backward-looking and confined to the securities portfolio: they record the revaluation already taken on bonds currently held, expressed against a comparatively small equity base. ΔEVE is forward-looking and covers the entire banking book, including loans and deposits, and estimates sensitivity to a further rate movement. An institution that has already disposed of its longer-dated holdings registers little on the first measure while remaining exposed on the second; an institution holding a large but short-dated portfolio registers the reverse.

Seven of the 48 distinct disclosures reviewed exceed 15% of Tier 1, the threshold at which the Basel standard identifies an institution as an outlier for supervisory review. The threshold indicates a requirement for closer

examination rather than a breach, and nothing in this analysis suggests that any institution referenced is in difficulty.

Limitations

Coverage. 27 of 98 institutions publish a rate-risk disclosure that could not be retrieved, in most cases because their websites restrict automated access. Should those institutions differ systematically from the remainder, the distribution presented here would shift accordingly.

Shared disclosures. Eight holding companies publish a single table covering several banks; Fukuoka Financial Group's covers four. Those observations are not independent, which is why the correlation is reported on both bases.

Rate direction. The analysis takes the yield curve as given. A decline in yields would reverse the unrealised losses and compress the lending margin simultaneously.

Valuation. No share price data is held under licence, and the analysis therefore makes no assessment of the extent to which these exposures are reflected in market prices.

Sources and method

Yields are sourced from the Ministry of Finance; lending and deposit rates from the Bank of Japan, databases IR04 and IR02; group earnings from the Financial Services Agency's half-yearly summary of bank results; balance sheet data from the Japanese Bankers Association. Bank-level bond portfolios and unrealised losses are taken from the notes to each institution's annual securities report filed on EDINET, and rate-risk disclosures from each bank's Basel Pillar 3 document, with the source URL, page reference and document checksum recorded for every figure.

Published figures are quoted as published. Three measures are calculated: unrealised bond loss divided by net assets; securities maturing beyond ten years divided by the sum of all maturity buckets; and the largest ΔEVE divided by Tier 1 capital. Each is a division of two printed figures drawn from the same document. Changes in a percentage are expressed in percentage points. A figure a source does not publish is shown as — and is not treated as zero.

Each chart links to a permanent view carrying `as_of=2026-09-23`, so the figures remain retrievable following subsequent releases.
